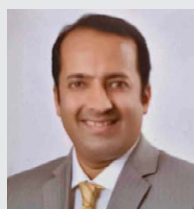


India's data centre boom and the GST conundrum

Tax certainty on input credits could prove critical as India competes for data centre investments



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A decade is not a very long time in the lifespan of a tax system. And yet, as GST is set to complete 10 years in the coming months, it has managed to integrate itself into India's economic growth story. One of the main reasons for this is GST's ability to respond promptly and iron out issues faced by several industries and sectors across India Inc.

Data centres. It is one such sector that now needs the same.

Global investment in data centres has surged in recent years, driven by explosive growth in cloud computing, artificial intelligence, streaming, e commerce, and the broader digitisation of economies worldwide. As global technology majors, hyperscale cloud providers, and infrastructure funds look for scalable, stable, and strategically located hubs, India has emerged as one of the important destinations for such investment.

While the government has been praised for its rollout of GST and continually refining it through clarifications and simplification measures, the GST law remains a work in progress, more so for emerging sectors such as data centres. One prominent concern for data centre players is the eligibility of input tax credit (ITC) on the wide range of goods and services used to set up these facilities. With data centre capex running into large sums, the treatment of ITC has moved to centre stage, significantly influencing project viability and shaping investor sentiment.

ITC: The heart of the debate

For context, section 17(5) (c) and (d) of the CGST Act provide for restrictions on ITC on goods and services that are supplied for construction of an immovable property. However, there are certain important exceptions where the said restriction does not apply, as was noted by the Hon'ble Supreme Court in Safari Retreats judgment. By necessary implication, the exception in the restriction should mean that ITC should be available for those goods and services covered by the exception. One such carve-out where credit should be admissible is 'plant and machinery', even if the same is immovable property.

Data centres: A mere civil structure or plant and machinery?

The starting point for most GST controversies around data centres lies in one deceptively simple question: What exactly is a data centre for GST purposes?

A hyperscale data centre for example is not a conventional office building. It is a highly engineered and complex combination of multiple infrastructural support systems required to be integrated to achieve the basic operational functionality of the data centre. At its core, it brings together power generation and distribution assets, extensive backup and redundancy systems, uninterrupted power supply (UPS)

architecture, bespoke high density cooling solutions, and sophisticated fibre and telecom networks—all integrated to operate cohesively as one unified data centre plant.

Owing to its unique and special technical requirements, the construction of a data centre involves several structural adaptations specifically designed to support the massive infrastructure and operating functionality of its IT systems, servers, storage systems and networking equipment, etc. It should be noted that the structure cannot be separated from the machinery and equipment and hence cannot be said to have any independent existence from the plant itself.

This underscores a compelling argument that a data centre facility is far more than a mere civil structure and ought to be regarded as 'plant and machinery' within the meaning of the Explanation to Section 17 of the CGST Act. Furthermore, the civil structure functions primarily as a foundational framework, delivering the essential structural support required for the data centre plant, which is specifically included within the meaning of 'plant and machinery'. Separately, it is highlighted that a separate carve-out exists whereby ITC ought to be available where the data centre is constructed with the intention of subsequent sale or lease.

A case for targeted clarifications, not concessions

While some judicial precedents under the tax laws have adopted a broad and purposive interpretation of 'plant', the GST law's specific exclusions for 'building or civil structure' create interpretational friction. Consequently, this would lead to denial of ITC, long drawn litigations, and eventually subdued investor confidence.

It is a well-known fact that India operates in an increasingly competitive global landscape. Southeast Asian countries such as Malaysia, Vietnam, Indonesia, and Thailand are actively attracting data centre investments through fiscal incentives, tax holidays, seamless ITC flow, lower land and power costs, and simplified regulatory approvals. Malaysia alone has secured multi-billion-dollar investments from several global tech companies. It would thus be beneficial if the Government provided much-needed clarity on eligibility of ITC on goods and services that go into setting up data centres.

Eligibility of ITC on lease of land

Eligibility of ITC on land leases takes on added significance for data centre operators, particularly in light of judicial precedents distinguishing between transfer of leasehold rights (on which GST should not apply) and taxable leases of land.

A nuanced argument can be advanced here that lease of land is merely a preliminary step—an antecedent arrangement prior to the construction activity and therefore should not be characterised as 'for construction' to fall within the restrictive ambit of clauses (c) and (d) of Section 17 of the CGST Act.

Conclusion

Data centres are factories of the digital age. The question of whether they are to be treated as 'buildings or as 'plant' under GST is far from a mere academic diversion—it goes to the heart of capital allocation and viability of large scale investments.

What is urgently required is a clear, principle driven clarification on ITC eligibility. This clarification should stay true to the legislative scheme while acknowledging the predominantly functional character of data centres as plant and machinery.

Equally important would be explicit guidance confirming: (a) non levy of GST on transfer of leasehold rights, and (b) availability of ITC on lease of land, given that leasing is a preparatory, standalone step and not inextricably bound to subsequent construction activity. Such clarity would not only anchor tax certainty but also send a powerful, investor friendly signal to both global and domestic stakeholders.